

CASE STUDY #11 — DIGITAL

PayLater's Buy-Now-Pay-Later NPA Crisis

Credit Risk & Digital Lending Operations

Introduction

PayLater, a fintech offering "Buy Now, Pay Later" (BNPL) credit at checkout for e-commerce partners, grew its user base from 2 million to 9 million in 18 months by approving most first-time applicants instantly using a thin-file credit model.

Background

As disbursements scaled, 90-day-past-due delinquency rose from 2.1% to 7.8% of the loan book, and the company's warehouse lending partners began threatening to cut funding lines unless asset quality improved within one quarter. The credit-scoring model relied almost entirely on bureau data and device signals with no merchant-category risk adjustment, credit limits auto-increased without re-evaluating repayment capacity, collections outreach began only after 15+ days overdue, and all merchant partners were underwritten under one blended risk model.

Approach: Digital Lending Concepts Applied

Function	Issue Identified	Fix Implemented
Underwriting / Credit Scoring	No merchant-category risk adjustment	Layered a merchant-risk multiplier into the scoring model
Credit Limit Management	Auto-increases ignored repayment-capacity signals	Introduced capped, income-verified limit increases with cooling-off periods
Collections & Recovery	Outreach started only after 15+ days overdue	Shifted to pre-due-date nudges and D+1 to D+7 proactive contact
Portfolio Segmentation	Blended risk pricing across all merchant categories	Split portfolio into risk tiers with category-specific approval thresholds
Early Warning Systems	No leading indicators tracked ahead of delinquency	Built an early-warning dashboard flagging spending-pattern anomalies pre-default

Resolution & Outcome

Within one quarter of implementing the changes:

- 90-day delinquency fell from 7.8% to 4.3%
- Approval rates for low-risk merchant categories were maintained, preserving 85% of prior disbursement volume
- Warehouse lending partners renewed funding lines at improved terms

Final Note

The NPA spike traced back to a one-size-fits-all underwriting model that ignored merchant-category risk and repayment-capacity signals during limit growth. Segmenting risk by category and moving collections upstream restored asset quality without sacrificing most of the growth PayLater had built.

Questions for Discussion

- Why did instant, thin-file approval work at small scale but break down as the user base grew to 9 million?
- What is the trade-off between approval speed (a key BNPL value proposition) and underwriting rigor?

- How should PayLater balance growth targets against asset-quality covenants set by its lending partners going forward?